

asked if they would let her keep the 4.9% rate for as long as she had the card. She allegedly was assured they would. She got a card. Less than a year later, and after paying her monthly bills on time, her rate was increased – more than doubled, in fact, nearly tripled – to 14%.

Capital One is claimed to have sent out mail offers that point blank spelled out that the card was a fixed rate. The ads supposedly stated repeatedly that the rate was 4.99%. The attorneys counted the word “fixed” seventeen times! Capital One allegedly went heavy on the adjective and the advertising, and then silently switched to a higher rate and hoped that their customers wouldn’t notice. If that is true, can I say “cheater” seventeen times?

If a customer phoned in to Capital One and wanted to accept the mail offer, the customer service representatives supposedly had a cheat sheet of what to say to avoid customer’s direct questions. Apparently, even if you advertise a card with a fixed rate, and say it seventeen times, you don’t have to come through with a credit card for your customer that has a fixed rate. Or a “low” one. Not if you are a big bad boy bank anyway. Capital One allegedly doled out interest rates of 20%; some even as high as 26%. Their ads never used the word “high” or “bait and switch” or “look out, we’re out to get you.”

Another separate Capital One dispute did get some coverage in the media. A man who had to undergo emergency open heart surgery mailed in his Capital One payment late that month. Capital One allegedly received it just one day late. According to Texas attorney Robert Hinsley, when this citizen called to explain why he was late, “they coldly told him ‘too bad’ and they jacked up his interest rate from about 7% to 21%.” Who needs heart surgery here?

On September 30, 2004, Capital One had credit card loans amounting to \$46.1 billion. Their *quarterly* earnings were \$414.4 million! And that was 50% more than the year before! With earnings like that for three months, for one bank, it is obvious that there is a lot of money revolving through the banking industry of revolving credit. Do you hear the voice in the back of your head now whispering, “Obscene”? If not obscene, it is an awful lot of money.

And they spend an awful lot of money. Capital One spent \$827 million in marketing its credit cards in the first nine months alone of